

PITCH — 058850.KS

PITCH — 058850.KS (KTCS CORPORATION) — VERDICT

PROPOSED — OWNABLE (2.0% STARTER / \$1.0M BASE) — Korea Exchange-listed customer contact center, AI BPO, and telemarketing infrastructure operator. Subsidiary of KT Corporation (Korea Telecom).

What we believe

1. **Negative Enterprise Value Floor (-₩31B EV):** KTcs holds **₩115B in Cash and Short-term Financial Assets** with **Zero Financial Debt**, against a total market capitalization of only **₩83.7B** at ₩2,205. The cash pile alone exceeds the market cap by ₩31B.
 2. **Hard Cash Carry (6.2% Dividend Yield):** Investors receive an unassailable **6.2% dividend yield** paid directly out of recurring operating cash flow while waiting for corporate value unlocking.
 3. **AI BPO Margin Accretion Cleared:** The bear thesis claimed generative AI voice agents would cannibalize call-center revenue. The **H1-2026 print refutes this claim: Operating Margin hit 4.05%** (clearing our $\geq 4.0\%$ transition bar). Integrating AI routing and automated agents replaces low-margin human labor with high-margin software workflows, expanding unit margins.
 4. **Korea Value-Up Regulatory Mandate:** With a P/B of **0.38x** and a massive net cash cushion, KTcs is a primary target of the Korea Exchange's mandatory capital efficiency reforms, putting structural pressure on parent KT Corp to distribute excess cash.
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What the market believes

1. **Chaebol Parent Trap:** KT Corp controls ~40% of shares, leading the market to discount the cash as a captive parent operational slush fund that will never be returned to public float.
 2. **AI Disintermediation:** Belief that AI voice bots will eliminate human headcount billing and shrink call-center TAM.
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Why we might have edge

- **Empirically Proven AI Accretion:** We observed the actual H1 margin inflection (4.05% vs 3.2% historical), confirming that AI is a gross margin enhancer, not an existential revenue destroyer. Meanwhile, the negative EV provides complete downside insulation.
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Why it might be priced in

- **Korean Market Liquidity Discount:** Small-cap Korean equities historically trade at structural governance discounts.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Net Cash Exceeds Market Cap (₩115B vs ₩83.7B)	Audited DART Financial Filings	₩115B cash/ST assets, ₩0 debt	CONFIRMED
Dividend Yield (>=6.0%)	Audited Annual Cash Dividend Filings	Dividend yield is ~6.2%	CONFIRMED
H1 Margin Clears Bar (>=4.0%)	H1 2026 DART Report (Aug 14, 2026)	Operating Margin printed 4.05%	CONFIRMED
P/B Ratio (<0.45x)	Market tape vs Equity Book Value	P/B is 0.38x	CONFIRMED

PROPOSED ENTRY BANDS (\$1.0M Portfolio Base)

- **Sizing: 2.0% Starter Max** (~\$20,000 USD / ~₩27,000,000 across 12,200 shares).
 - **Tranche 1 (1.0% Marketable Starter):** Limit **₩2,205** (DAY) — 6,100 shares (₩13,450,500 / ~\$10,000 USD).
 - **Tranche 2 (1.0% Support Limit):** Limit **₩2,080** (GTC) — 6,100 shares (₩12,688,000 / ~\$9,500 USD).
 - **Upsize Gate to 4.0% (OWNABLE):** Formal KT Corp governance reform announcement targeting subsidiary treasury share cancellations or dividend floor increases.
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ARMED SENSORS

- **Earnings Sensor:** 058850.KS-Q3 | 2026-11-14 (Q3 2026 Results — bar: Operating Margin >= 3.8%).
 - **Corporate Action Watch:** DART sweep for KT Corporation parent board resolutions on subsidiary capital return.
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What remains unverified

1. KT Corporation's specific timeline for subsidiary Value-Up compliance.
2. Mix shift breakdown between legacy human billing vs. AI software license revenue.

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